

Chapter 2 run card

Introduction to Dow Theory

175 slides 21 checks, 42 items 26 figures 8 charts 6 parts

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Read this before you open the deck

Where you should be, minute by minute

The honest number

Chapter 2 is 175 slides. At the pace you actually taught Chapter 1, that is **about 202 minutes, and the session is 180**. The chapter does not fit as it stands, and it is better to know that now than at the 90 minute mark.

That rate is measured, not guessed. Chapter 1's openers plus its first four parts is 155 slides, and 155 slides is what 180 minutes bought. Every minute below is Chapter 2's own mix of terms, figures, charts and checks priced at that rate.

Read the last two columns

MINUTES PER PART, AND THE CLOCK TIME TO START IT

PART	SLIDES	FULL	START AT	CUT	START AT
Openers and roadmap	4	6	0:00	6	0:00
1 Origins	21	25	0:06	23	0:06
2 Discounting	20	23	0:31	21	0:29
3 Primary trend	38	43	0:54	36	0:50
4 Secondary and minor	20	23	1:37	21	1:26
5 Phases and reversal	32	38	2:00	34	1:47
6 Confirmation and volume	36	40	2:38	34	2:21
Wrap up and homework	4	5	3:18	5	2:55
Whole chapter	175	202	ends 3:23	180	ends 3:00

Full is the deck with nothing dropped. Cut is the same deck with Cut 1 and Cut 2 from page 2 taken before you start. Slide counts run from the part divider to the recap, which is what the progress marker counts.

At every part boundary

RULE

Check the clock against the column you are running

If you are more than five minutes late starting a part, take the next unused cut on page 2 **before** you begin it, not during it. Cutting inside a part is how a session ends in the middle of an argument.

If it slips anyway

Stop at the end of Part 5 and carry Part 6 to the next session. Part 6 is the only part that is genuinely self contained: two tenets and the seven criticisms, with nothing later in the chapter depending on it. Every other boundary leaves something owed.

If you do split, the wrap up slides are three minutes and they carry Homework 1 and the Elliott note. **Run them at the end of the first session anyway**, whatever else you drop, or the homework never gets set.

What to cut, in this order

The ladder

WHAT EACH CUT BUYS

CUT	WHAT COMES OUT	MINUTES	CHAPTER RUNS
None	The whole deck		202
1	Nine repeat pictures	9	193
2	All eight charts, and eight slides	14	179
3	Three checks	9	170

Take 1 and 2 before you start if the session is 180 minutes. Cut 3 is the emergency and costs you a reading of the room.

Cut 1

Nine pictures that repeat a picture you have already shown. Nothing is lost but the second telling. Each one is about a minute.

Skip these

Cut 1, nine figures

- Slides 71 and 72, Figures 2.6 and 2.7. Long run examples; Figure 2.5 shows the shape already.
- Slides 78 and 79, Figures 2.10 and 2.11. The second scaling pair; 2.8 and 2.9 make the point.
- Slide 93, Figure 2.13. Several reactions at once; Figure 2.12 carries the argument on its own.
- Slide 129, Figure 2.19. The bottom reversals; the book says the same rationale applies in reverse.
- Slides 145 and 146, Figures 2.23 and 2.24. Correlated markets; the tenet is made on 2.20 to 2.22.
- Slide 155, Figure 2.26. The second volume example; Figure 2.25 is the same test done once.

Cut 2

Every chart, and eight slides that restate their neighbour. No check and no homework needs any of them. The charts are ours and they only ever illustrate a term that has already been taught; they never introduce one.

Skip these too

Cut 2, eight charts and eight slides

- All eight charts: slides 20, 42, 51, 59, 88, 113, 139 and 153.
- Slide 8, Charles H. Dow. The names are all on the next two slides.
- Slide 39, effects not causes. Chapter 1 taught it.
- Slide 50, tides, waves and ripples. A mnemonic, and nothing is set on it.
- Slide 66, Dow thought it worth it. The examined number is the slide before.
- Slide 107, who is on each side. The term slide carries both already.
- Slide 116, the longer the base. One sentence, and it points at Chapter 4.
- Slide 144, correlated markets. Goes with 2.23 and 2.24 above.
- Slide 152, volume is secondary. Check 19's reveal says it too.

Below this, do not go

The emergency cut, and the floor

Cut 3

Three checks, and only these three. Each one sits beside another check in the same part that covers the same ground, so the part can still read the room. Three minutes each.

Skip both slides

Cut 3, three checks and their reveals

- Check 3, slide 23, on the averages. Part 6 comes back to the two averages in the seventh criticism.
- Check 15, slide 119, on who is buying. Check 14 in the same part already sets the phases.
- Check 21, slide 169, on what survives. Check 20 in the same part already sets the criticisms.

Never

TRAP

Two things that are never a cut

Never drop a reveal without its question, or a question without its reveal. The letter alone teaches nothing and the question alone reads the room and then abandons it.

Never drop a term slide. Every check in this chapter is answerable from a term or a content slide that comes before it, and the student edition has no speaker notes to fall back on.

The floor

Seven things carry a check, a past paper item or Homework 1. **They stay in at 202 minutes and they stay in at 150.**

These stay

What must not be cut, and why

1. **The six basic tenets**, slide 27. Check 4 sets the trap on it: the tenet is that **primary** trends have three phases.
2. **Uptrend and downtrend**, slides 57 and 58, with Figure 2.4 on slide 60. Homework 1 is find a trend and interpret it, so this **is** the homework. Check 8 sets a sequence on it.
3. **Penetration**, slide 64. The theory's only signal, and Check 9 sets it.
4. **How far back a reaction comes**, slide 86, with Figure 2.12 on slide 92. Checks 11 and 12 both rest on them.
5. **The three phases**, slide 105, and **why accumulation is longer**, slide 112. Check 14, and review question 6.
6. **Confirmation**, slide 137, and **the four volume conditions**, slide 150. Checks 18 and 19, and both are past paper items.
7. **The wrap up**, slides 172 to 175. Three minutes, and the only place Homework 1 is set.

One more

The answer letters for all 21 checks are in `chapter-02/in-class-checks.md`, which is generated from the same content the deck is. **Print that, not this.** This card is for the clock.